Financial Regulation and Digital Assets

Professor James J. Angel, Ph.D., CFP®, CFA
McDonough School of Business
Georgetown University
March 2021
angelj@Georgetown.edu
@GUFinProf

Dr. Jim, CFP®, CFA @GUFinProf

- I study financial market structure.
- 12 fintech patents
- Testified 6 times before Congress
- Visited ~ 70 stock exchanges around the world.
- Visiting Academic Fellow NASD
- Federal Reserve's Faster Payments Task Force

- Work experience:
  - PGandE, BARRA (later part of Morgan Stanley), Shanghai Stock Exchange
  - Board of Directors: DirectEdge Stock Exchange 2010-2014

- BS Caltech (overlapped with the late Hal Finney), MBA Harvard, Ph.D. U.C. Berkeley
- At Georgetown +/- since 1991
  - Wharton (2012-2014)

For today

- 1. Why we regulate financial services.
- 2. How we regulate financial services.
- 3. How cryptos are different and require different regulation.
- 4. How cryptos should be regulated.
- 5. How regulators will act.

Why do we regulate financial products?

- Every country on the planet has extensive laws and regulations that apply to financial services.
- Why aren't standard commercial laws (e.g. Uniform Commercial Code (UCC)) good enough?
- What is different about financial services?

Big information asymmetries

- With most products, the quality is immediately observable.
- With financial products, quality is uncertain:
  - Cash flows from investments will not be observed until the future.
    - May be very risky!
- Large information asymmetries
  - Between issuers and investors
  - Between intermediaries and consumers
- Breeding ground for fraud!
- In areas where there are large information or negotiating power asymmetries, people demand that the government step in.
  - Nutrition labels, taxi regulation, public utilities
- History shows that unregulated incentives not enough.

Nutrition Facts

Serving Size 1/2 cup (115g)
Servings Per Container About 4

Amount Per Serving	
Calories 250	**Calories from Fat** 130
	% Daily Value*
Total Fat 14g	**22%**
Saturated Fat 9g	**45%**
Cholesterol 55mg	**18%**
Sodium 75mg	**3%**
Total Carbohydrate 26g	**9%**
Dietary Fiber 0g	**0%**
Sugars 26g	
Protein 4g	
Vitamin A 10%	Vitamin C 0%
Calcium 10%	Iron 0%

* Percent Daily Values are based on a 2,000 calorie diet.

Investor protection: Fraud prevention

- Money attracts thieves just like garbage attracts flies.

- Issuer fraud: Bogus securities, hiding bad news
- Intermediary (broker fraud): Conflicted advice, embezzlement
- Trader fraud
  - Manipulation (pump and dump, wash sales)
  - Insider trading
  - Hacking

Investor protection: Bad decisions

- Lack of sophistication
  - Investors who don't understand risks and returns of products.
- Recklessness
  - Taking excessive risk

- Public policy question: How paternalistic should regulators be?

Investor protection: Selling practices

- Most financial products are "sold, not bought"
  - Finance is a branch of marketing
  - Selling needed to raise capital

- Sales incentives
- Unsuitable investments

Investor protection: Conflicts of interest

- Endemic in financial services (and elsewhere)
  - Fee-based adviser wants more assets
    - Even when customer should pay down mortgage
  - Commission-based intermediaries push deals
- Payment for order flow
- Regulatory response
  - Best interest/fiduciary rules
  - Disclosure

Investor protection: Intermediary failures

- Prevent loss of funds from failed institutions
- Prevent runs on otherwise solvent institutions
  - What will happen with the stablecoin banks?

- Prevent contagion from affecting other institutions
- Financial stability and growth objectives

- Capital requirements
- Cybersecurity rules

Investor protection: Enforce property rights

- Shareholder rights
  - Corporate governance rules
- Stealing of corporate assets
  - Mergers and acquisition rules
- Misappropriation of corporate information
  - Insider trading

Crime prevention and enforcement

- Money laundering
- Funding of terrorists

- Anti-Money-Laundering (AML) rules
  - Bank Secrecy Act/ Patriot Act
    - FINRA Rule 3310
- Know-Your-Customer (KYC) rules
  - FINRA Rule 2090

Investor Protection: Privacy

- Personal financial information is intellectual property
- Growing international consensus
  - Consumer should control who has their information
    - Moves toward open banking
- Should only be expropriated if there is an overwhelming public purpose.
- Conflict between AML and privacy

Social goals

- Policy makers use financial regulation to achieve other goals
  - Required disclosures
    - Conflict minerals
    - Pay equity
    - Climate change
  - Required actions
    - Diversity on boards
    - Services to preferred clienteles (government, minorities)

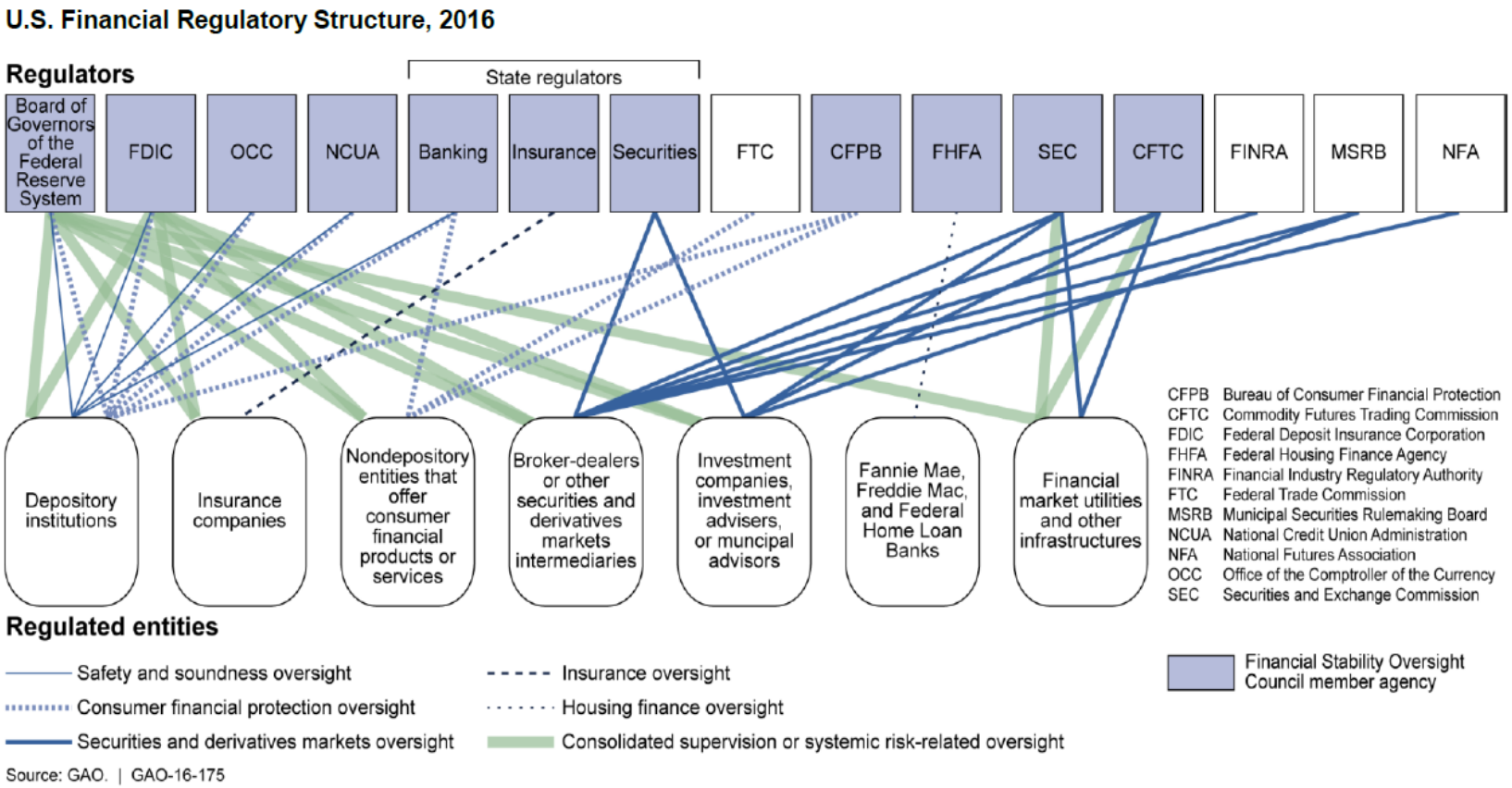
So HOW do we regulate financial products?

- Let's take a look at the array of tools used in most jurisdictions…

Generic ~~securities~~ financial services regulation

- Registration of instruments and products with regulator(s)
  - Sometimes prior approval
  - Have to disclose material information
- Registration of entities (both people and firms) with regulator(s)
  - Keep criminals ("bad actors") out
- Sales practice rules
  - Fiduciary/best interest requirements
- Disclosure rules for issuers
  - Accounting statements
- Different rules for different castes of investors
  - Institutions (QIBSs), Foreigners, "Accredited" investors, Retail…
- Rules on intermediaries
  - Qualifications, net capital, business operations
- Rules on trading
  - Tick size, transparency
- Anti-Money Laundering (AML)/ Know Your Customer (KYC)
- Tax reporting

US regulatory system is antiquated and dysfunctional.



New technologies need new and different regulation.

- Example: Taxi regulation
  - NYC taxis are required to have bullet-proof partitions and meters
    - Protect drivers from robbers.
    - Protect customers from rip-offs.
  - Uber and Lyft don't need them.
    - No cash in (US)
    - Customers know fare in advance.

- Implication
  - Even though the service is similar (transportation), the exact same rules are not needed.
- So what is so different about digital assets?

Digital asset differences

- Bearer instruments
  - Complicates custody in a world that has worked hard to get rid of paper certificate.
- Easy digital transport
  - Inherently cross border
    - Bad actors exploit this weakness.
- Programmability
  - Can do much more than we can with dumb stocks and bonds
  - Tremendous potential for new dreamed and yet-undreamed applications
- Varying degrees of traceability- quasi-anonymity.
  - Murky origins
- Proof of Work (POW) is a massive environmental catastrophe.
  - About 400 kwh to process one BTC transaction versus 1 kwh for Visa.
  - Generation capacity equivalent to 10 Chernobyls at current hash rate.

THE BIGGEST DIFFERENCE

- **Replacing institutions with protocols.**
  - Eliminating various gatekeepers
  - Even DeFi has varying levels of governance and decentralization (Ryosuke Ushida)
    - Can provide levers for regulatory action

How should regulators act?

- Start with first principles, not compliance with obsolete rules.
  - What are the regulatory objectives?
  - Is any government action needed at all?
  - Start with the lightest possible touch.
  - Consult users/industry first.
  - Act only when there is a clear public policy need.
  - Learn from the experience of other jurisdictions.
  - Start with market-based solutions instead of "command and control" rules.

How will regulators regulate?

- Instinct is to force new players to adhere to exact old rules.
  - Even they no longer make sense.
- They have strong power only over entities in their jurisdiction.
- They will attempt to extend that power through international pressure.
  - Much as they have leaned on tax havens.
- They will exercise that power over all on-ramps and off-ramps to the digital asset world.

What to expect…

IRS Initiates 'Operation Hidden Treasure' to Root Out Unreported Crypto Income

- FINCEN AML/KYC rules are just the beginning!
- Blacklisting of tainted coins similar to OFAC sanction lists.
- Tax reporting rules for all entities that deal in cryptos.
- Suitability rules for all financial intermediaries that promote cryptos.
- Environmental restrictions on POW mining.
- Consumer protection rules on wallet providers.
- Rules to favor local CBDCs over private moneys.
  - Smarter governments will build in the right amount of privacy protection in their programmable CBDCs
- Attempts to reinvent or apply corporate governance rules to DeFi.

Pushback from existing players

- Existing players will use regulatory means to block new entrants
- From Bank Policy Institute:

2021: The Year Banking Charters Reach a Tipping Point

Washington, D.C. – As a new Administration and new Congress start to take shape, they will be forced to confront an issue that is reaching a tipping point – should tech firms be granted banking powers but allowed to ignore banking regulations designed to protect consumers, keep the system safe and hold executives accountable if problems arise? That's exactly what is happening – for example, last year we saw the FDIC grant deposit insurance for ILCs after a 14-year hiatus (paving the way for tech giants to own insured banks), state banking regulators issue special purpose depository institution charters to cryptocurrency firms and the OCC propose to grant novel types of national bank charters to any variety of FinTech firms.

If these policy ideas take off, consumers and the safety and soundness of the banking industry will be put at risk. Congress and incoming regulators must take action to ensure technology companies aren't allowed to exploit existing or create new loopholes to gain access to the banking system without adhering to the safeguards that apply to regular banks. BPI highlights these risks through a new website launched today that provides a comprehensive look at how regulatory half-measures put consumers at risk. If tech companies want to get into the business of banking, they need to be subject to the same consumer, safety and soundness and financial stability protections that apply to banks.

How to respond

- Anticipate that public pressure will demand government actions
  - Prevent fraud, protect consumers, reduce systemic risk, grow economy.
- Be pro-active in crafting the best ways to achieve these objectives
- Work to educate decision makers
  - AND THEIR STAFFs!
- Participate in the regulatory and legislative processes.
  - Reactions to FINCEN overreach a good sign.

Any questions??